

If the corporate tax rate is 27% and the effective tax rate is 34%, then we need to understand in greater detail. However, in this case, since the tax rate is in line with the corporate tax rate, we don't need to ask too many questions about it.

Next, we will have a look at Income Taxes Paid in Cash Flow Statement.

Cash Generated from operations	1221	1167	1224	1254	1673	1763
Income Taxes Paid	314	373	428	409	393	371
CFO	907	794	796	845	1279	1392
CFI						
Net Cash Invested In Operating Assets	-166	-122	-176	-254	-444	-352
Net Cash Invested in Financing Assets	-331	-770	192	-279	523	-1354

We need to compare Income Tax paid with Current Tax Expense. As a result, we calculate - Income Tax Paid/Current Tax Expense.

Taxes						
Effective Tax Rate	29.3%	31.0%	29.0%	30.4%	22.9%	26.0%
Income Tax Paid/ Current Tax	0.94	0.97	1.09	0.99	1.13	0.94
Check for any significant tax credit, advance						
Net DTA w.r.t Total Assets	0.1%	0.1%	0.1%	0.2%	0.2%	0.2%
Net DTL w.r.t Total Assets	2.2%	1.9%	2.1%	2.0%	1.3%	4.5%

We see that - income Tax Paid/ Current Tax Expense is close to 1. This means that taxes are paid in line with the current tax expense.

Next, we need to look for other tax related items. These include

- ◇ Total tax credits
- ◇ If the company has paid any advance tax as an asset, when can that be recovered?
- ◇ Any past taxes to be paid as a liability
- ◇ Any accumulated tax credits as assets